

Hanbell Precise Machinery (002158 CH)

Buy: Sustainable growth prospects

**Equities
Machinery**

China

- ◆ 2026 growth will not be fast, but we see increasing visibility of growth prospects from 2027 and beyond 2030
- ◆ Semiconductor business will first register significant growth off a low base; AIDC and industrial heat pump to follow suit
- ◆ Maintain Buy rating and TP of RMB38.80

Growth outlook unchanged despite recent stock volatility: Over the past three months, Hanbell's share price has been relatively volatile, in line with other China semiconductor equipment names. The market regards Hanbell as a semiconductor play, mainly because of high expectations of domestic semiconductor market growth driven by AI development and the large market share gain potential in semiconductor vacuum pumps for Hanbell, we believe. We forecast Hanbell's semiconductor vacuum pump revenue to increase from an estimated RMB100m in 2025 to RMB202m in 2026e, which is significant considering this business has been flattish since 2021 for Hanbell. We expect this segment to grow even faster in 2027 as Hanbell completes product certification for more downstream clients for 12-inch equipment, including for memory chips (see [pages 5-6](#) for more details).

Market size is key: We like Hanbell mainly because it has exposure to several industries with large markets, which should ensure consecutive growth for the next 10 years for the company. While supply shortages of refrigerant compressors for US AIDC do not look as severe (compared to some other equipment), our latest global market forecast of magnetic levitation compressors for data centres is RMB16.9bn in 2028e ([pages 3-4](#)), which indicates decent growth potential for Hanbell. We think downstream AIDC heat solution providers will not solely rely on Danfoss for magnetic levitation compressor supply and will find second or third suppliers. In addition, while the China industrial heat pump market has grown slower than our expectations in 1H26, but this does not change our long-term investment thesis. Currently, industrial heat pump demand is effectively helping Hanbell to mitigate the weakness in central air conditioning and refrigeration markets. In 1H26, China data centre demand and the industrial heat pump market registered 13.6% and 15.5% y-o-y growth, respectively. We also highlight the potential of Europe's industrial heat pump market ([pages 8-9](#)).

Maintain Buy; 2026-28 earnings and TP of RMB38.80 unchanged: We make no changes to our 2026-28 net profit estimates and our DCF-based TP remains RMB38.80. The stock is trading at 23.8x 2026e PE and 17.6x 2027e PE, compared with its historical average of 19x since 2016. Our target price of RMB38.80 implies 44.4% upside to the current stock price and we therefore maintain our Buy rating. See key downside risks on [page 11](#).



MAINTAIN BUY

TARGET PRICE (CNY)

38.80

PREVIOUS TARGET (CNY)

38.80

SHARE PRICE (CNY)

26.87

(as of 17 Jul 2026)

UPSIDE/DOWNSIDE

+44.4%

MARKET DATA

Market cap (CNYm)	14368.0	Free float	39%
Market cap (USDm)	2120.2	BBG	002158 CH
3m ADTV (USDm)	88.1	RIC	002158.SZ

FINANCIALS AND RATIOS (CNY)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC QH EPS	0.88	1.13	1.53	2.15
HSBC QH EPS prev	0.88	1.13	1.53	2.15
Change (%)	0.0	0.0	0.0	0.0
Consensus EPS	1.13	1.11	1.36	1.64
PE (x)	30.7	23.8	17.6	12.5
Dividend yield (%)	1.7	2.2	2.9	4.1
EV/EBITDA (x)	19.7	16.1	12.0	8.4
ROE (%)	10.9	13.2	16.4	20.5

52-WEEK PRICE (CNY)



Source: LSEG IBES, HSBC Qianhai Securities estimates

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No country for bears

The 24th edition of the EM Sentiment Survey

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Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Qianhai Securities Limited

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<https://www.research.hsbc.com>

Financials & valuation: Hanbell Precise Machinery

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (CNYm)				
Revenue	2926.7	3428.9	4370.7	5586.8
EBITDA	670.5	770.6	1004.8	1379.4
Depreciation & amortisation	-130.8	-100.3	-113.0	-124.6
Operating profit/EBIT	539.7	670.3	891.8	1254.8
Net interest	-19.9	-1.4	14.9	21.1
PBT	519.8	668.9	906.7	1275.9
HSBC Qianhai PBT	519.8	668.9	906.7	1275.9
Taxation	-50.0	-64.4	-87.2	-122.8
Net profit	468.7	603.2	817.6	1150.5
HSBC Qianhai net profit	468.7	603.2	817.6	1150.5
Cash flow summary (CNYm)				
Cash flow from operations	778.5	1390.4	915.3	1227.6
Capex	-416.8	-292.0	-292.0	-292.0
Cash flow from investment	-416.8	-292.0	-292.0	-292.0
Dividends	-240.6	-309.6	-419.7	-590.6
Change in net debt	-341.2	-810.2	-313.7	-516.0
FCF equity	361.7	1098.4	623.3	935.6
Balance sheet summary (CNYm)				
Intangible fixed assets	211.5	201.5	196.3	191.2
Tangible fixed assets	1100.9	1293.4	1477.5	1650.2
Current assets	4207.3	4492.5	5115.7	6018.8
Cash & others	1823.5	2642.6	2956.3	3472.3
Total assets	6252.0	6719.7	7521.9	8592.5
Operating liabilities	1175.4	1270.0	1562.4	1899.5
Gross debt	678.4	687.3	687.3	687.3
Net debt	-1145.1	-1955.3	-2269.0	-2785.0
Shareholders' funds	4372.8	4735.4	5243.3	5974.1
Invested capital	2520.8	2074.9	2270.9	2488.4

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-20.3	17.2	27.5	27.8
EBITDA	-38.6	14.9	30.4	37.3
Operating profit	-43.6	24.2	33.0	40.7
PBT	-48.6	28.7	35.5	40.7
HSBC Qianhai EPS	-45.7	28.7	35.5	40.7
Ratios (%)				
Revenue/IC (x)	1.2	1.5	2.0	2.3
ROIC	20.6	26.6	37.3	47.9
ROE	10.9	13.2	16.4	20.5
ROA	7.6	9.3	11.5	14.3
EBITDA margin	22.9	22.5	23.0	24.7
Operating profit margin	18.4	19.5	20.4	22.5
EBITDA/net interest (x)	33.7	552.7		
Net debt/equity	-26.0	-41.1	-43.0	-46.4
Net debt/EBITDA (x)	-1.7	-2.5	-2.3	-2.0
CF from operations/net debt				
Per share data (CNY)				
EPS Rep (diluted)	0.88	1.13	1.53	2.15
HSBC Qianhai EPS (diluted)	0.88	1.13	1.53	2.15
DPS	0.45	0.58	0.78	1.10
Book value	8.18	8.86	9.81	11.17

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	4.5	3.6	2.8	2.1
EV/EBITDA	19.7	16.1	12.0	8.4
EV/IC	5.2	6.0	5.3	4.7
PE*	30.7	23.8	17.6	12.5
PB	3.3	3.0	2.7	2.4
FCF yield (%)	2.5	7.6	4.3	6.5
Dividend yield (%)	1.7	2.2	2.9	4.1

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	9
Energy intensity*	n/a	Average board tenure (years)	3.2
CO ₂ reduction policy	Yes	Female board members (%)	11.1
Social Indicators		Board members independence (%)	33.3
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

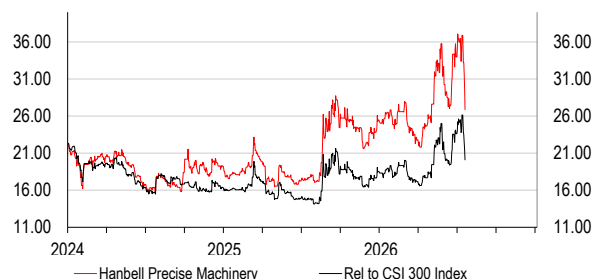
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (CNY)	26.87	Free float	39%
Target price (CNY)	38.80	Sector	Machinery
RIC (Equity)	002158.SZ	Country/Region	China
Bloomberg (Equity)	002158 CH	Analyst	Dun Wang, CFA, CPA
Market cap (USDm)	2120.2	Contact	+86 21 5066 2027

Price relative



Source: HSBC Qianhai Securities

Note: Priced at close of 17 Jul 2026

A more detailed look at AIDC exposure

The best is yet to come

In 2026, many global leading HAVAC players (see Exhibit 1) stated that data centre cooling has become one of the key drivers of their growth. Some of these HAVAC players, such as Trane or Carrier, have in-house compressor manufacturing capacity but also purchase externally some types of refrigerant compressors. For example, Danfoss has been a popular choice for maglev compressors for a few of these companies (source: Danfoss official website). We think this represents opportunities for specialized compressor makers like Hanbell, especially as next-generation AIDC need high-performance compressors such as maglev compressors or gas-bearing refrigeration compressors.

As most of Hanbell's new products (large capacity maglev compressors, for example) are going through certification and testing process for downstream clients, we believe Hanbell's refrigerant segment can register fast growth in 2027. While we expect Hanbell's centrifugal compressor sales (including maglev compressors) to expand significantly y-o-y in 6M26 (partly driven by data centres and partly by refrigeration or heat pump demand), we note the base is still low and therefore 2026e growth in absolute value will be limited to some extent. We estimate that centrifugal compressors accounted for c10% of its total refrigerant segment revenue in 2025, while the rest were mostly screw compressors.

Exhibit 1. Global leading AIDC HAVAC players and their relationships with Hanbell

	Recent data centre related orders	Relationship with Hanbell
Trane	1Q26 Exceptional CHVAC bookings / revenues, up ~40% / up HSD, respectively. Strong services growth with revs up double digits. 3yr stack revs up ~50% (applied up >80%)	In contact to see if Hanbell can supply maglev compressors for AIDC
Carrier	1Q26 Global CHVAC3 orders up 35%, with data center orders up >500%	Hanbell has been supplying compressors for air conditioning; in contact to see if they can supply maglev compressors for AIDC
York (under Johnson Controls)	Total new orders (inc HAVAC) increased 39% y-o-y in 1QFY26 and 30% y-o-y in 2QFY26. In FY2Q26 in the Americas, organic revenue increased 7%, led by continued strength in Applied HVAC and solid double-digit growth in service	Hanbell has been supplying screw engines for air conditioning; in contact to see if can supply maglev compressors for AIDC;
Vertiv	Global leading liquid cooling solution provider also has subsidiaries that make chillers	Testing and certifying Hanbell's compressors
Teco	Production capacity for its chillers has been upgraded to the thousand-ton class, successfully penetrating the North American market; following a strategic alliance involving a share swap with Hon Hai, the company has engaged in deep collaboration on US AIDC infrastructure	Hanbell will be the major compressor supplier once Teco secures HVAC contracts for US AIDC
Dunham-Bush (under Moon Environment Tech)	US AIDC chiller demand going up and the company is expanding capacity	Hanbell is supplying screw engines for compressor units of US AIDC

Source: Company data, HSBC Qianhai Securities

Size of the compressor market for AIDC

As we stated in our report [Hanbell Precise Machinery \(002158 CH\): Buy: Investor feedback](#) (26 Nov 2025), for refrigerant compressors used in data centres, we estimate screw compressors cost cRMB600m per GW and magnetic levitation compressors cost cRMB1-1.5bn per GW (source: 2025 China Compressor Industry Development Yearbook). This estimate was based on our estimated total market size divided by the amount of data centres built in China.

We can use another methodology to cross check if the above estimate make sense. According to the official website of compressor maker XecaTurbo (3 July 2026), for a data centre of 12.5MW total power demand and PUE of 1.25, the cooling system power (mainly refrigerant compressors) is typically 2MW. Therefore, we can assume compressor power load is usually 20% of the total data centre power load. According to data from Tradeindia.com (a compressor trade platform) and Broad USA (a US HVAC service supplier) (13 July 2026), the price of a maglev (magnetic bearing) refrigerant compressor typically ranges from USD500 to USD700 per kW for large industrial chillers. For a data centre of 1GW total power, it would need 200WM of compressors;

if we include redundant back-up compressors, the demand for compressors could go up to 240MW. If we apply a price range of USD500 to USD700 per KW, the total value ranges USD120m-USD168m/GW of total data centre power. So, this value estimate is close to our previous estimates using a different methodology.

According to McKinsey (24 Feb 2026), global new data centre installation is likely to reach 24.1GW in 2028e. If we assume magnetic levitation compressor penetration of 70% and RMB1bn per GW value, the global market for magnetic levitation compressors for data centres could be RMB16.9bn in 2028e. This is a market that is large enough to be attractive.

Not perfect, but a decent opportunity for Hanbell

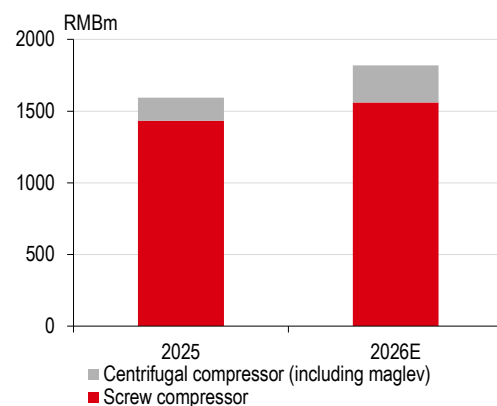
Compared to many other components for AIDC, such as gas turbines, capacitors, memory chips, or large power transformers, the supply shortages of refrigerant compressors do not look as severe yet, and the addressable market is not one of the largest. Many local North America AIDC heat solution providers are able to supply some refrigerant compressors (although not all of them, such as magnetic levitation compressors or screw compressor engines).

Product differentiation matters in this sector. The compressor is the heart of the engine of the chiller for an AIDC, and it's one of the biggest drivers of performance and efficiency. The CEO of Johnson Controls said, at its 2Q26 earning conference on 6 May 2026, that York designs their compressors specifically for applications that require high capacity, precision and reliability like data centres. He said that while much of the industry relies on third-party compressor platforms, York designs and manufactures its own application-specific compressor architectures.

Our estimated global market size for magnetic levitation compressors for data centres is as much as RMB16.9bn in 2028e, and this indicate decent growth potential for the leading players. We think Hanbell will benefit:

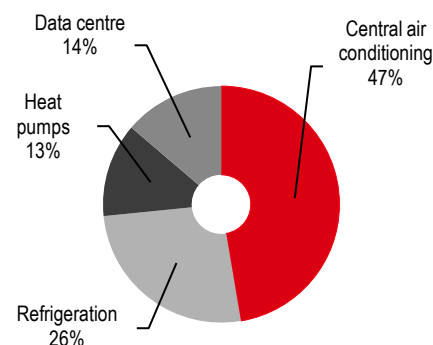
- ◆ Downstream AIDC heat solution providers will not solely rely on Danfoss for magnetic levitation compressor supply and will find second or third suppliers. This represents an opportunity for Hanbell.
- ◆ Hanbell will continue to supply screw compressor engines to downstream AIDC heat solution providers.

Exhibit 2. Hanbell: Refrigerant compressor revenue breakdown by product type: Centrifugal (inc maglev) contribution small



Source: Company data, HSBC Qianhai Securities estimates

Exhibit 3. Hanbell: Refrigerant compressor segment revenue breakdown by downstream (2026e)



Source: Company data, HSBC Qianhai Securities estimates

Revisiting the semiconductor vacuum pump business

Time to bear fruit

Over the past three months, Hanbell's share price has moved in line with China domestic semiconductor equipment names. Although Hanbell's semiconductor revenue contribution is still small, the market regards Hanbell as a semiconductor play. We think this is because of its leading position and large market share gain potential in semiconductor vacuum pumps.

We forecast Hanbell's semiconductor vacuum pump revenue to increase from an estimated RMB100m in 2025 to RMB202m in 2026e, which is significant considering this business has been flattish since 2021 for Hanbell. We expect this segment to grow even faster in 2027 as it completes product certification for more downstream clients for 12-inch equipment. We think the rapid growth will mainly be driven by:

- ◆ Robust downstream domestic equipment demand, driven by rising memory and logic chips demand
- ◆ Import substitution trends, such as market share gains in 12-inch equipment
- ◆ Demand from outside mainland China, driven by global semi capex increases

Many domestic semi equipment makers are rolling out products like furnace tubes and CVD equipment, and Hanbell is conducting extensive validation for 12-inch processes vacuum pump to align with its clients' capacity expansion plans scheduled for late this year and next year. These validation and sales are facilitated through domestic semiconductor equipment manufacturers that bundle Hanbell's pumps with their systems for processes like etching and deposition. Hanbell has achieved significant breakthroughs in the rigorous process requirements of 12-inch wafer fabs, with deployments underway for metal etching, CVD, and furnace tube processes.

We think Hanbell's revenue is of high quality, as we estimate revenue for selling pumps used for cleaning is roughly equal to that for etching and deposition (which are hard to achieve). It sells far more cleaning vacuum pumps in quantities but with much smaller ASP, and lower quantities of etching and deposition vacuum pump with higher ASP.

Upward capex revision of domestic memory players

As discussed in the report [NAURA Technology \(002371 CH\): More room to run](#) (6 July 2026), with the upward capex revision of domestic memory players, domestic semi capex is expected to further increase and benefit equipment makers. In memory, CXMT/YMTC's c8%/c13% global DRAM/NAND share remains well below China's c25%/c30% share of demand (source: company data, TrendForce), leaving significant room for domestic substitution, while the two companies' potential IPO fundraising could support further expansion amid the memory price upcycle. In logic, China's reported plan to expand advanced capacity by c500k wafers before 2030 (Reuters, 25 February 2026), and the USD9.8bn of Dutch lithography imports in 2025 (+3% yoy, but ASP +37% yoy, per GACC statistics) point to a step-up in advanced foundry capex.

Although Hanbell has not confirmed that it sells vacuum pumps directly to memory chip makers, we think Hanbell will benefit from the memory capex cycle through domestic semi equipment makers. We estimate that 50-60% of its semiconductor vacuum pump revenue was generated through domestic equipment suppliers in 2025.

Hanbell's equipment clients include both ACM Research (688082 CH) and AMEC (688012 CH) (source: investor platform, June 2025), which are equipment suppliers for memory chip makers such as CXMT Corporation (688825 CH).

Growing with both domestic and global semi makers

We estimate that, for Hanbell, 50-60% of its semiconductor vacuum pump revenue was generated through domestic equipment suppliers in 2025, while the remainder of the revenue is from downstream end customers or international customers. In China, we see opportunities for Hanbell to generate revenues from both leading semiconductor equipment makers such as Naura, AMEC, Piotech, E-Town and Leadmicro, and leading semi makers such as Hua Hong, SiEn (Qingdao) Semiconductor (A mainland China SOE), and China Resources Microelectronics.

Additionally, we highlight that Hanbell is a supplier for international semi makers such as TSMC, ASE, UMC (source: investor platform, March 2025). Hanbell sells to customers based in Taiwan through its Taiwan plant. Hanbell has been replacing vacuum pumps that have been in service for over a decade at numerous 8-inch fabs in mainland China and Taiwan, covering processes such as ion implantation, CVD, and etching.

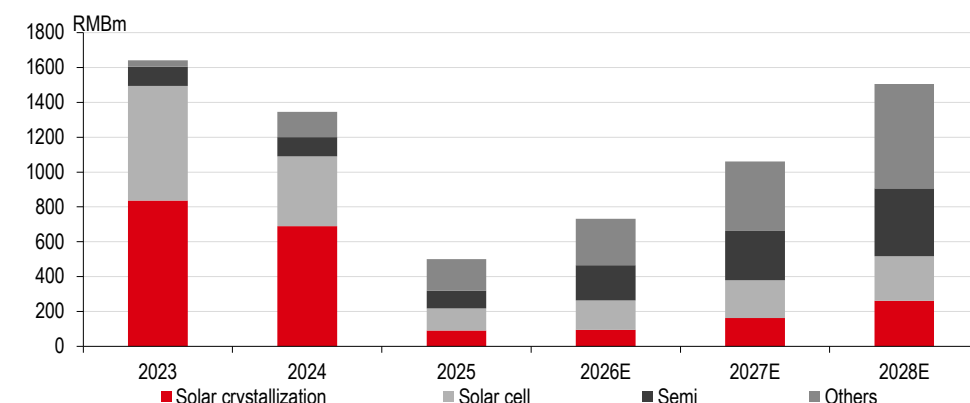
Positive read-across from SKY technology

Hanbell's peer in semiconductor vacuum pumps, SKY technology (920186 CH, RMB81, not rated), was listed on the Beijing stock exchange on 29 April 2026. While the market for semiconductor vacuum pumps is still dominated by foreign brands such as Edwards, Ebara, and Kashiya, import substitution of vacuum pumps in China semiconductor industry is progressing and SKY technology has become one of the leading China domestic semiconductor vacuum pump suppliers.

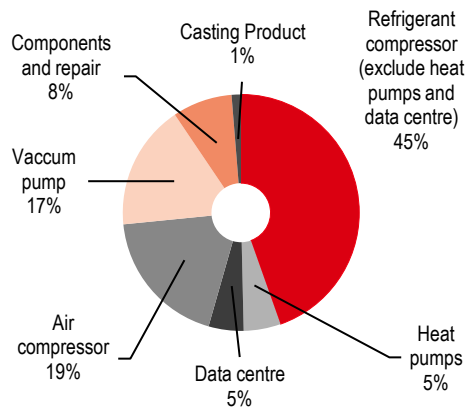
We highlight that, even though SKY technology had larger revenue scale in semiconductor vacuum pumps in 2025 than Hanbell, Hanbell has made equally significant progress in certain rigorous processes of semiconductor production, as it has already generated some revenue (source: investor platform, 6 March 2023). "Rigorous manufacturing processes" typically refer to fabrication processes at advanced nanometer-scale nodes (such as 2nm or 3nm) that require extremely strict control over contamination, process variations, and yield.

According to SKY tech's investor presentation (12 June 2026), the company has not yet completed product testing and validation for certain intermediate and demanding process steps within advanced manufacturing nodes. To date, it has successfully completed testing and validation for 14 out of the 28 process categories involved in intermediate and demanding steps of advanced manufacturing.

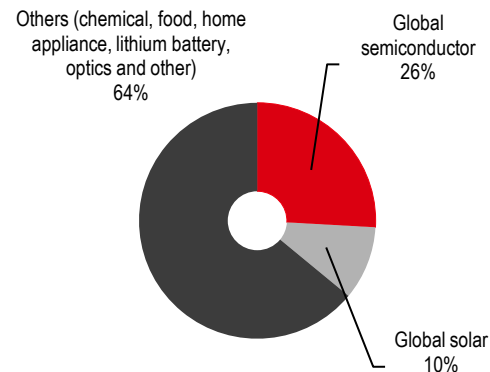
Exhibit 4. Hanbell: Vacuum pump revenue breakdown and forecasts



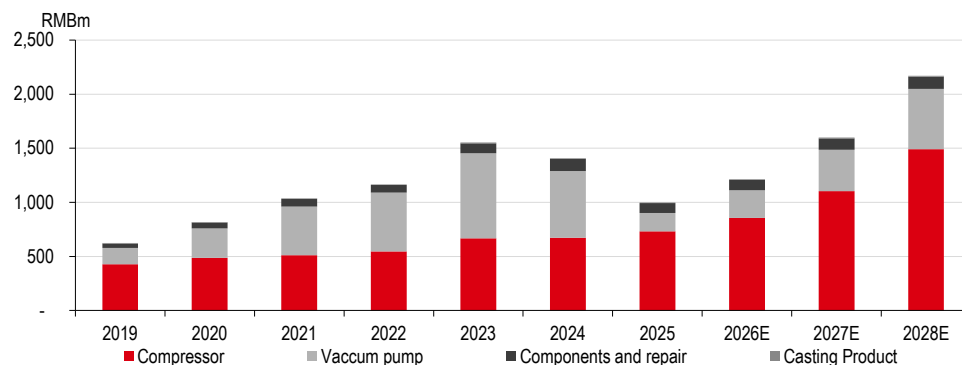
Source: Company data, HSBC Qianhai Securities estimates

Exhibit 5. Hanbell: Revenue breakdown (2025)


Source: Company data, HSBC Qianhai Securities

Exhibit 6. Global: Vacuum pump market breakdown by downstream (2024)


Source: Precedence Research, prospectus of SKY technology, SEMI, CPIA, HSBC Qianhai Securities estimates

Exhibit 7. Hanbell: Gross profit breakdown by segment and growth outlook


Source: Company data, HSBC Qianhai Securities estimates

Latest outlook on industrial heat pump business

Still positive on long-term demand

We acknowledge that the China industrial heat pump market has not shown the significant growth in 1H26 that we expected, but this does not change our investment thesis. In a pessimistic scenario where China industrial heat pump demand only registers 10-20% CAGR in 2026-30e, industrial heat pump demand would effectively help Hanbell to mitigate the weakness or slow growth in central air conditioning or the refrigeration market. We think the rigid demand of carbon reduction will drive significant growth in the industrial heat pump sector, sooner or later, and will do much more than just mitigating industry headwinds of refrigerant compressors.

According to Weldomedia (15 July 2026), an industry social media and consultancy, China central air conditioner sales registered a 20.3% y-o-y decline in 1H26, after a 20.5% y-o-y decline in 1H25; this is not a surprise given weak China property data. However, chillers that install centrifugal compressors and screw compressors only declined 6.7% and 9.6% y-o-y, respectively. This is because of the strong growth of data centre demand mitigated central air conditioner demand declines. Data centre temperature control air conditioners and industrial heat pumps registered 13.6% and 15.5% growth in 1H26, respectively.

Reasons why China's industrial heat pump demand has not grown significantly

From our research into the China industrial heat pump market, we believe industrial heat pumps represent a large market with immense potential, even larger than we previously estimated. However, for a number of reasons, it has yet to register significant growth. Among the obstacles we listed in our report [Hanbell Precise Machinery \(002158 CH\): Investor feedback](#) (26 Nov 2025), we think the difficulty of retrofitting existing projects is a major factor. For the kind of screw compressors and centrifugal compressors that Hanbell supplies, insufficient power capacity (transformers and power substations) is a major obstacle, in addition to the fact that some factories have not allocated enough space for installing industrial heat pumps. Therefore, it is often new factories or new capex by downstream industrial companies that choose to install industrial heat pumps.

The result of this is that the application of industrial heat pumps may not be that fast in the short term, but should grow more sustainably over the next 5 to 10 years.

Additional research on European market

Investors have asked about the potential of industrial heat pumps in markets other than China, and we gave a brief answer to this in our report [Hanbell Precise Machinery \(002158 CH\): Investor feedback](#) (26 Nov 2025).

In addition to the growth potential of industrial heat pumps in China, we believe Europe also offers a large opportunity. We estimate an annual average of 5.6GW new installation of large heat pumps in Europe over the next 25 years (including 3.6GW for industrial heat pumps and 2GW for district residential heating/cooling). The total market potential in GW is comparable to that of China. We note that large heat pump system pricing is much more expensive in Europe than in China and this could enlarge the addressable market in monetary terms. We need to follow more closely to see if Hanbell could secure a decent market share. Over 80% of monobloc units and more than 90% of indoor air-to-water heat pumps in Europe were manufactured locally in 2025 (European Heat Pump Association), but most of these residential heat pumps use piston or scroll compressors, not the kind of screw or centrifugal compressors for large heat pumps.

We note that policies in place, such as REPowerEU plan and The European Climate Law, have overarching rules that cover detailed subsidies and supporting policies (such as boiler bans (oil, gas and coal)). However, we believe these are not enough to drive a large expansion of the industrial market, and there is little indication of new policy to support this, particularly in 2026. Most of the focus is still on residential heat pumps. We need to see more aggressive policies going forward (such as tax savings on electricity, as proposed by EHPA – 'Taxation policy for heat pumps', Nov 2025).

The detailed market sizing is as follows:

- ◆ According to Heat Pumps in Europe Key Facts & Figures (May 2023), 37% of the industrial process heat is currently below 200°C. To adapt all of that to industrial heat pumps, Europe would need 105 GW of capacity. At 3000 operating hours/year, this means 3.6 GWh of excess heat that is discharged into the environment. (EHPA, Industrial Heat Pumps Can Deliver, 2022, p.1).
- ◆ EHPA estimates 105GW total addressable market potential for industrial heat pumps in Europe, and it assumes 25 years of installation. EHPA estimates 3.6GW installation per year, and if we assume EUR1.5bn/GW price, the total annual addressable market could be EUR5.4bn.
- ◆ To cross-check EHPA's calculations on industrial heat pumps, we looked at total Europe heat consumption from the industry (An estimation of the European industrial heat pump market potential, a ScienceDirect paper, April 2021). 13516 PJ (Petajoule) translates into 13.5GJ; consider that 37% of heat is below 200°C, total heat replaceable by heat pumps is 5.0bn GJ. Our calculation below indicates that 132.3GW total addressable market is very similar to EHPA's calculation ([Exhibit 8](#)).

- ◆ In addition to industrial heat pumps, the concentrated residential heating market is large. Large heat pumps represent an installed capacity of 2.5 GWth in heating and cooling networks, which is around 1% of the total capacity (source: EHP, Large Heat Pumps in District Heating and Cooling Systems, 2022, p.5; Heat Pumps in Europe Key Facts & Figures, May 2023). These kinds of large systems use more screw compressors and centrifugal compressors. This implies that total district heat pumps have a total addressable market of 250GW. If 20% of the European residential market adopts heat pump central heating/cooling, this would imply a 50GW potential market.

Exhibit 8. Market sizing of industrial heat pumps in Europe

Item	Number	Units	Notes
Potential heating demand of industrial heat pumps in Europe	5.0000	bn GJ	An estimation of the European industrial heat pump market potential (2021)
Implied power consumption	462.96296	bn kwh	Assume 1KWH of electricity transports 3*3.6m joule of energy, or at a coefficient of performance (COP) of 3
Implied total installed capacity of industrial heat pumps	132.3	GW	Assume industrial pumps effectively work 3500 hours annually
Total addressable market of industrial heat pumps	198.4	EURbn	Assume EUR1500/kw total price of industrial heat pumps
Market size of new equipment annual demand on average	7.9	EURbn	Assume it takes 25 years complete installation of all industrial heat pumps in Europe

Source: EHPA, HSBC Qianhai Securities estimates

Valuation and risks

Maintain Buy rating and TP of RMB38.80

We make no changes to our earnings estimates. We continue to use a DCF model to value the stock. Our target price is unchanged at RMB38.80. Our target price implies upside of 44.4% to the current share price and we therefore maintain our Buy rating on the stock.

Our DCF model assumes a WACC of 9.5%. Our key assumptions are unchanged unless indicated and include the following:

- ◆ **Cost of equity (COE):** We use a COE of 10.2%. This is derived from a risk-free rate of 4.25%, a market risk premium of 4.75%, and a beta of 1.24.
- ◆ **Cost of debt (COD):** We assume the pre-tax cost of debt to be 5.0% and the after-tax cost of debt to be 4.3%. We use our 2026e debt-to-capital ratio of 11.0% as our long-term debt-to-capital ratio.
- ◆ **Operating cash flow:** We assume our operating cash flow CAGR (before changes in working capital) to be 8.7% in 2024-37e.
- ◆ **Capital expenditure:** We forecast capex of RMB292m in 2026, and RMB292m in 2027. We forecast 2028-37 capex to gradually increase from RMB292m in 2028 to RMB649m in 2037.
- ◆ **Terminal growth rate of 2%:** We assume the company will reach a steady growth period after 2037e.

The stock is trading at 23.8x 2026e PE and 17.6x 2027e PE, compared with its historical average of 19x since 2016. We forecast a 34.9% earnings CAGR in 2025-28. Our target price of RMB38.80 implies 44.4% upside to the current share price; we therefore retain our Buy rating.

Exhibit 9. Hanbell: Discounted cash flow valuation

RMBm	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Profit after tax	868	865	470	605	819	1,153	1,326	1,512
YoY growth		0%	-46%	29%	36%	41%	15%	14%
Add: Depreciation & amortization	122	134	131	100	113	125	161	161
Net finance expense	2	-54	20	1	-15	-21	-23	-26
Operating cash flow before W/C changes	992	945	621	706	918	1,257	1,464	1,647
Changes in working capital	-202	-870	200	685	-17	-50	-58	-66
Net operating cash flow	790	75	820	1,392	900	1,207	1,406	1,582
CAPEX	-483	-161	-417	-292	-292	-292	-336	-383
Free Cash Flow	307	-86	404	1,100	608	915	1,070	1,199
Discount Factor				1.00	0.91	0.83	0.76	0.70
Gross PPE	2,317	2,468	2,488	2,833	3,122	3,411	3,747	4,129
Depreciation Rate	5%	5%	5%	4%	4%	4%	4%	4%
PV of FCF				1,100	556	762	815	833
RMBm	2031e	2032e	2033e	2034e	2035e	2036e	2037e	Terminal Value
Profit after tax	1,663	1,829	1,994	2,141	2,281	2,417	2,562	
YoY growth	10%	10%	9%	7%	7%	6%	6%	
Add: Depreciation & amortization	161	178	195	215	235	257	280	
Net finance expense	-28	-31	-34	-37	-41	-45	-49	
Operating cash flow before W/C changes	1,796	1,976	2,155	2,319	2,475	2,629	2,793	
Changes in working capital	-72	-79	-86	-92	-99	-105	-111	
Net operating cash flow	1,724	1,897	2,069	2,226	2,376	2,525	2,682	
CAPEX	-421	-463	-505	-542	-577	-612	-649	
Free Cash Flow	1,303	1,434	1,564	1,684	1,799	1,912	2,033	27,583
Discount Factor	0.63	0.58	0.53	0.48	0.44	0.40	0.37	0.37
Gross PPE	4,551	5,014	5,519	6,061	6,638	7,251	7,899	
Depreciation Rate	4%	4%	4%	4%	4%	4%	4%	
PV of FCF	827	831	828	814	793	770	748	10,145
Summary of PV (Enterprise Value)	19,823							
Less: Net debt (incl. perpetual)	951							
Equity value	20,773							
Less: Minority interest	-27							
Shareholder Equity Value	20,746							
Total shares issued by year-end 2026 (m shares)	535							
Per share value (RMB)	38.80							
Assumptions								
Risk-free rate	4.25%							
ERP	4.75%							
Beta	1.24							
Cost of equity = RFR + Beta*ERP	10.2%							
Cost of debt	5.0%							
Income tax	15%							
After tax cost of debt	4.3%							
Debt/Capital	11%							
WACC	9.5%							
Terminal growth	2%							

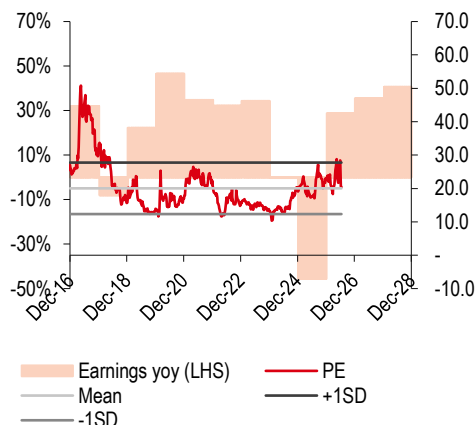
Source: Company data, Wind, HSBC Qianhai Securities estimates

Downside risks

- ◆ **Weaker-than-expected data centre and industrial heat pump growth trends:** Should China industrial heat pump demand or global data centre demand growth be lower than expected, we see downside risks to our earnings forecasts.
- ◆ **Stronger-than-expected raw material cost inflation.** This could lead to margin compression.
- ◆ **Stronger-than-expected competition in the compressor market.** Many new entrants have entered the energy storage temperature control market. Should the competition be stronger than expected, we see downside risks to our earnings forecasts.
- ◆ **Weaker-than-expected compressor demand growth in China.** Hanbell has revenue exposure to both refrigerant compressors and air compressors. Lower-than-expected demand for compressors could lead to lower-than-expected results for Hanbell.
- ◆ **Weaker-than-expected vacuum pump demand growth.** Hanbell mainly sells vacuum pumps for solar wafer and cell manufacturing and for semiconductor manufacturing. Lower-than-expected demand could lead to lower-than-expected results for Hanbell.
- ◆ **Uncertainty in overseas business.** Hanbell has overseas operations in several countries. There could be risks of foreign exchange rate fluctuations and additional tariffs.

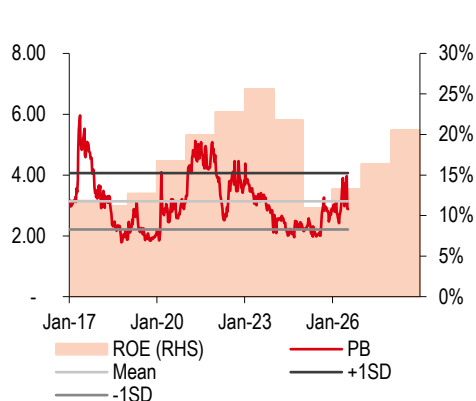
Potential share price catalysts: (1) Announcement of more favourable policies related to industrial heat pumps; (2) positive data on China industrial heat pumps; (3) positive data on AIDC compressor sales; and (4) a quarterly earnings recovery.

Exhibit 10. Hanbell forward PE (x)



Source: Wind, HSBC Qianhai Securities estimates

Exhibit 11. Hanbell forward PB (x)



Source: Wind, HSBC Qianhai Securities estimates

Disclosure appendix

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The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

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Upside/Downside is the percentage difference between the target price and the share price.

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Share price and rating changes for long-term investment opportunities

Hanbell Precise Machinery (002158.SZ) share price performance CNY Vs HSBC rating history

Rating & target price history

From	To	Date	Analyst
N/A	Buy	22 Oct 2025	Dun Wang, CFA, CPA
Target price	Value	Date	Analyst
Price 1	36.60	22 Oct 2025	Dun Wang, CFA, CPA
Price 2	35.80	26 Nov 2025	Dun Wang, CFA, CPA
Price 3	38.80	30 Apr 2026	Dun Wang, CFA, CPA

Source: HSBC



Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
HANBELL PRECISE MACHINERY	002158.SZ	24.81	20 Jul 2026	7

Source: HSBC

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